Doing Strategy

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I have spent most of my career thinking about sources of advantage and their imitability. More recently I have become more interested in how strategies are actually formulated and in how those processes can be bettered. In part this interest derives from an increased amount of consulting. But it also derives from my original case-based training at the Harvard Business School and from the origins of strategy as the study of general management.

If you take a modern course on business strategy you will likely be exposed to a series of arguments and theories about the sources of above-normal profits. Starting with industry analysis (block entry and avoid price competition) and moving on to concepts of rare and difficult to imitate resources, pushing yet further on to network effects and two-sided markets, you will acquire some facility with various terms describing competitive advantage. To top it off, you will learn some of the rudiments of game theory as applied to industrial organization settings.

I taught courses like this at UCLA for a number of years, gradually becoming uncomfortable with the content, then strongly dissatisfied. One source of annoyance was a belief that defining the subject matter of strategy in economic terms was, itself, a bad strategy. It pretty much ensured that one would be, over the long term, eclipsed by real economists. But the other, much more powerful, source of frustration was that these school-room concepts, by now enshrined in so many texts and articles, were of little help in actually dealing with strategic issues facing real firms. Real firms did not seem so have that much trouble understanding the sources of past profit. Rather, they struggled with what to do next, with which issues were salient and which were not, with dramatically conflicting visions of what the competitive struggle was actually about, with a host of cognitive dysfunctions, and with undercover power plays disguised as action programs.

In 2005 I was able to interview Secretary of Defense Donald Rumsfeld, in the middle of the second Iraq war. I asked him about the problem of strategy or policy creation. He replied:

> As SecDef I have access to just about any expertise imaginable. Do you want to know the weather patterns in Iraq in June? We have people who know all about it. Do you want to know the various tribal histories, languages, customs, and inter-marriage situations? We have people who know. Do you want to know Who, in Turkey, blocked our access to a northern invasion and why they did so? We have people who know. Do you want to know how many sorties we can fly in 24 hours and how long we can keep that up? Of course, we know all about that. The real problem is twofold. First, how does one pull all of this expertise together into a coherent strategy. Secondly, each morsel of expertise comes with a hidden agenda attached. It comes from a person or group with a perspective, an ax to grind, a budget to manage, a contract to renew, a career to push forward, and so on. Professor, do you academics have a way to deal with these issues?

I thought for a minute and sadly had to say that our technology for these issues had not much improved from ancient times. “Put some smart people together in a room and see what they come up with,” was how I described it.

If Rumsfeld’s question is, as it seems to be, the heart of the heart of the country in strategy, why is there is so little useful strategy research in the subject. As Gary Hamel noted

> Of course, everyone knows a strategy once they see one--be it Microsoft's, Nucor's, or Virgin Atlantic's. Anyone can recognize a great strategy after the fact. We also understand planning as a "process." The only problem is that process doesn't produce strategy--it produces plans. The dirty little secret of the strategy industry is that it doesn't have any theory of strategy creation.[1]

It took me a number of years to crystalize my point of view on this dilemma. Much of that thinking is encapsulated in *Good Strategy/Bad Strategy: The Difference and Why It Matters*.[2] In essence, I came to

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[1] Gary Hamel, “Killer Strategies That Make Shareholders Rich,” *Fortune*, June 23, 1997, pg. 70.

[2] Rumelt, Richard, *Good Strategy/Bad Strategy: The Difference and Why It Matters*, Crown Business, 2011.

the view that whereas academics tend to view strategy work as analysis, and business people tend to see it as planning, it is more usefully seen as a particular form of problem-solving. In talks and presentations, I define it like this: *A strategy is a coherent mix of policy and action designed to surmount a high-stakes challenge.*

I say a "particular form" of problem-solving because most strategy situations are unstructured. The idea of unstructured problems (or decisions) was first described in detail by Cyert, Simon, and Trow[3]. Despite the many words that have been spilled since trying to describe difficult problem settings,[4] it is hard to improve on their original explanation:

1. The alternatives are not usually "given" but must be sought, and hence it is necessary to include the search for alternatives as an important part of the process.
2. The information as to what consequences are attached to which alternatives is seldom a "given," but, instead, the search for consequences is another important segment of the decision-making task.
3. The comparisons among alternatives are not usually made in terms of simple, single criterion like profit. One reason is that there are often important consequences that are so intangible as to make an evaluation in terms of profit difficult or impossible. In place of searching for the "best" alternative, the decision maker is usually concerned with finding a satisfactory alternative one that will attain a specified goal and at the same time satisfy a number of auxiliary conditions.
4. Often, in the real world, the problem itself is not a "given," but, instead, searching for significant problems to which organizational attention should be turned becomes an important organizational task.

Before elaborating on the nature of unstructured problems, it is useful to note that a great many structured problems are very hard to solve or may even be unsolvable. For example, there is no fool-proof computer program which reliably finds the $\mathbf{x}$ which for which an arbitrary objective function $f(\mathbf{x})$ takes on a globally maximum value. Another example of a very hard structured problem is fabric cutting: given a large set of shapes to be cut from a piece of fabric, how can they be arranged to

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[3] Cyert, Richard M., Herbert A. Simon, and Donald B. Trow. "Observation of a Business Decision." *The Journal of Business* 29, no. 4 (1956): 237–48

[4] See the voluminous literature on design-type problems and on abductive reasoning.

minimize the waste? So, there is no guarantee that just because a problem is "structured" a rational actor can solve it.

We look at unstructured problems, not because they are "harder" than all structured problems, but because the methods and algorithms and approximations used in structured situations don't work for unstructured problems. In unstructured situations, although there may be an objective (win the war, raise decent children, increase shareholder value), there is usually no given list of potential actions or a mapping between potential actions and the objective. It is this lack of an action-to-objective mapping which renders almost useless broad statements of goals and desires. There are simply no connections between feasible actions and broad objectives such as "win a Noble Prize" or "get rich" or "increase shareholder value."

Importantly, saying that strategy is a form of problem-solving puts great emphasis on the identification and characterization the central problem or challenge. It is well-nigh impossible to solve a problem you have not defined. Darwin struggled long with the problem of how new species arose, immersing himself in data on species and their distribution. His insight about variety and selection would not have occurred to a mind unprepared with either the question or his data. Similarly, you are not likely to stumble on the solution to quantum gravity if you are unaware of the conflicts between quantum mechanics and general relativity. Finally, "If the challenge is not defined, it is difficult or impossible to assess the quality of the strategy. And if you cannot assess a strategy's quality, you cannot reject a bad strategy or improve a good one."[5]

Moving away from defining strategy in terms of product-market competition also opens up the consideration of other types of challenges. If strategy is dealing with your most important challenge then perhaps that challenge is organizational, or political, or even philosophical. Further, a challenge-based approach to strategy encompasses individuals, small law offices, large companies, non-profits, government agencies, and even nation-states.

How does one identify the crucial challenge facing an organization? The quick answer is by judgment—by examining many facts, events, desires, and patterns of action and then guessing the key obstacle to

[5] Rumelt (2011, p.41).

forward development. If you want to sound scholarly, you can call this abductive reasoning. Writing about abductive logic in design, Dorst[6] observed that

> Experienced designers can be seen to engage with a novel problem situation by searching for the central paradox, asking themselves what it is that makes the problem so hard to solve. They only start working toward a solution once the nature of the core paradox has been established to their satisfaction.

Don't Start With Goals

In very many organizations, "strategy" is a label attached to the creation of longer-term, mostly-financial, goals, the look-ahead usually being three-to-five years. In the typical strategy process, the first-year's goals then become the targets for an annual budget which is broken into quarterly details by the budgeting process. With regard to this kind of process, more than one CEO has told me "We have a good strategy process. The problem is in implementation." Of course, when one cannot "implement" the strategy one does not have a good strategy or a good strategy process.

Another common corporate view of "strategy" is that first senior management sets financial targets, what one CEO calls the "definition of winning," and then management has the job of creating "strategies" for hitting those targets. In keeping with this tradition, once when I arrived in Sydney to provide a program on strategy for a company's senior leaders, I found that the local wordsmiths had labeled my sessions "Driving Results."

There are three large drawbacks to treating strategy as either goal-setting or as tactics for achieving set top-level goals. First, strategy is guidance. It imposes order and structure on action in a situation where autonomous action by individuals or organization units would be less successful. The responsibility of the strategist is to face the bewildering complexity of reality and pass on to subordinates a simpler challenge—one that the organization is capable of surmounting. When this is not done—when the

[6] Dorst, Kees. "The Core of 'Design Thinking' and Its Application." *Design Studies* 32, no. 6 (2011): 527.

strategist passes on too much uncertainty and complexity—then responsible guidance has lapsed. In most goal-setting situations, setting performance goals does little to reduce complexity and uncertainty.

Second, in unstructured situations there are is no action-to-objective mapping. That is, top-level goals do not guide action and actions cannot be clearly tested against goal attainment. Consequently, starting with goals, especially financial goals, treats the organizational situation as one of motivation rather than guidance.

Third, when, as usual, there are multiple goals, each tends to act as an implicit constraint on action and on the achievement of the others. When the president says he wants to defeat ISIS but avoid any civilian casualties, he has sharply constrained the action set. Doing this before understanding the range of possible actions and outcomes is strategically incompetent.

Focus on Challenges

When you first interview a CEO about strategy, you will probably be asked to sign a non-disclosure form before seeing documents about the company's strategy. You may then be surprised to find that the strategy is a collection of financial goals coupled with pretty-obvious aspirations to "invest in the growing markets," or to "gain share in the lucrative segments," or to "maintain leadership in FPMAs," or a list of potential acquisition candidates. When I am acting as a consultant, my job is to evaluate and to help convert these vague intents into useful policies and actions. I do this by shifting the focus from the space of results and actions to that of issues and challenges.

For example, being shown a new initiative, I often ask "Why is this hard to do?" If things go well, this question can unlock a conversation about the real challenges facing the company, issues and obstacles not mentioned in the strategy. It is then useful to ask "Is this new initiative likely to surmount those challenges?" Very often the answer is "It doesn't really address them directly." Rather, the initiative is actually a hoped-for state of affairs which is unlikely to come about because of the unaddressed obstacles and challenges. For example, a client self-diagnosed his company's critical problem as cost—competitors' margins seemed higher. His solution was a cost reduction program. When I probed into how this program would work, comparisons across existing plants around the world seemed to be the driving force. There was little texture as to how this would translate into lower costs. Putting together an analytical team, we found, after a month of fussing with incompatible data sources, that there was

no correlation between profitability and cost across 75 plants. Low margins were associated with nearby competitors, not high costs.

Changing the focus to challenges requires overcoming the standard management habit of speaking only about opportunities rather than problems or obstacles. This is best done in a concentrated workshop setting attended by ten or less senior leaders, including the CEO. Here, by reviewing past challenges met successfully and unsuccessfully, the pride in surmounting difficulties can be built and interest in exploring the characteristics of challenges developed.

Once a group becomes comfortable with discussing challenges, they can begin to associate a key challenge with each of the action initiatives they are presently undertaking or planning. From there it is an easier, though still significant, step to addressing the question of the most important challenge facing the organization. Different people will have different views on this, with perspectives ranging from the changing industry structure to internal frictions and dysfunctions.

Given a list of key challenges generated by senior managers, the next steps are winnowing, choosing, and explicating deeper challenges. The basic idea of winnowing is to decide which challenge is both *important* and probably *solvable* by the organization. It seems easier to first narrow the list and then test for solvability.

Choosing The Challenge

The job of the strategist is to replace broad desires and challenges with problems lying within the realm of the solvable—challenges which apparently connect to broad desires but which also lie within the reach of current skills and resources. That means the challenge should admit to informed ideas and insights into how actions probably connect to outcomes and how those outcomes may connect with overall objectives. Thus, the concentrated essence of strategic judgment is in *choosing a challenge* which is both solvable and whose surmounting will lead to the most significant positive outcomes. Working a balance between what is important and what is potentially achievable is the heart of the matter.

In workshops I normally ask the group to identify the single most important challenge which can potentially be surmounted. When this has been done, it is tested by once again going through a process in increased specificity. We ask “What actions need to be undertaken to deal with this challenge? What

are the obstacles to those actions? Why are these obstacles difficult? What policies and actions are possible to tackle these obstacles? Does the overall challenge still seem solvable? If the answer is "No, it is too hard," we need to go back and choose another challenge. Again, the skill of the strategist is not in pointing to the far horizon (that is inspirational leadership) but in picking that potentially solvable medium-term challenge which will grant the most forward progress.

Setting Proximate Objectives

Settling on a key challenge is a big step forward. Many times, this challenge looks ahead three to five years to its resolution. For example, working with Intel I saw that its biggest challenge is the end of Moore's Law in about 2020-21. At Best-Buy the 2013 key challenges were an overly fat headquarters and competition from Amazon. Both have been surmounted by late 2017.

Having identified overall strategic challenge, it is important to next create shorter-term proximate objectives. These are specific tasks (not goals!) which can be accomplished in a 12-18 month time frame and which will move the organization a good step forward towards accomplishing the larger challenge. These proximate objectives should be "proximate" both in time (12-18 months) and in solvability. It is no exaggeration to say that successful strategy is normally accomplished through a chain of proximate objectives.

Research on Strategy Problem Solving

Because this is not an academic journal paper, I do not have to list the huge number of articles which have tried to systematize either the process or the description of unstructured group problem-solving. The bottom line is that we still have little guidance on this issue. Nevertheless, I will try to say something useful about forward directions.

One of the interesting and useful unions between strategy and psychology is the now burgeoning field of "behavioral decision theory." The pioneering work of Kahneman and Tversky[7] clearly identified a series of predictable and repeatable biases in human decision-making. Today, these ideas have been

[7] For a summary see Tversky, Amos, Daniel Kahneman, and P. Moser. "Judgment under Uncertainty: Heuristics and Biases." *Rationality in Action: Contemporary Approaches*, 1990, 171–188.

applied to the issues arising in strategic decisions.[8] This work has helped acquaint managers with predictable biases they face. Does it help to know about predictable biases? We don't know. Do the discovered predictable biases of individuals translate into group decision bases or are they reduced by interaction? We don't know.

What about the impact of vested and/or hidden interests in decision processes? This occurs at the highest levels. The data at the CIA on Iraqi biological weapons was false and largely generated by Iraqi exile Ahmad Chalabi (codename "Curveball"), who expected a key role in the "liberated" Iraq. This led Secretary of State Colin Powell to appear before the UN and claim that the US had strong evidence of mobile biological weapons.

In corporate settings it is common for the senior managers setting strategy to also be responsible for regional businesses or different lines of business, giving them strong vested interests in the outcomes. This obviously produces a skein of interest and probable misrepresentation in any corporate strategy deliberation, yet few companies seem to take steps to ameliorate this obvious distortion. Interestingly, in the early days of decentralization, Alfred Sloan made a careful distinction between the operating, or divisional, executives and those who made policy (or strategy).[9] He did not want divisional interests polluting policy discussions.

Why hasn't more attention been paid to this very central issue in strategy? Because it is hard. Because it does not lend itself to the current academic preference for clear theory and clean measures. Because the incentive system of the academy does not reward research on subjects like this. Because you may, in your heart-of-hearts, believe that in another 100 years we will have no better advice than "Put some smart people together in a room and see what they come up with."

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[8] See, for example, Kahneman, Daniel, Dan Lovallo, and Olivier Sibony. "Before You Make That Big Decision." *Harvard Business Review* 89, no. 6 (2011): 50–60 and Lovallo, Dan P., and Olivier Sibony. "Distortions and Deceptions in Strategic Decisions." *McKinsey Quarterly* 1 (2006): 18

[9] Alfred P. Sloan, Jr., *My Years with General Motors*, Doubleday, 1963, Chapters 7 & 10.